

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Ensuring the Timely and Orderly Interconnection of Large Loads	))))	Docket No. RM26-4-000
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**REPLY COMMENTS OF
ELECTRICITY CUSTOMER ALLIANCE**

The Electricity Customer Alliance (ECA) respectfully submits these reply comments on the Advance Notice of Proposed Rulemaking (ANOPR) submitted to the Commission by the Secretary of Energy on October 23, 2025, and the Notice Inviting Comments issued by the Commission on October 27, 2025.¹ ECA submitted initial comments on November 21, 2025.²

ECA reiterates here that Commission action on large load interconnection to the transmission system is needed to ensure just and reasonable rates and prevent undue discrimination and will open new opportunities to meet the needs of new large loads for “speed to power” while protecting other customers from harm. The initial comments received by the Commission document two key challenges that customers from across the spectrum are facing when it comes to serving new large loads while ensuring affordability:

1. Large load customers like data centers, manufacturers, and industry are seeking opportunities to pay for and accelerate timelines for the generation and transmission infrastructure needed to serve them, but are stymied by inconsistent and unclear rules for large load interconnection to transmission, a lack of clear paths to line up load interconnection with the interconnection and delivery of generation they construct or contract to serve them, and fractured and incomplete transmission planning processes

¹ *Ensuring the Timely and Orderly Interconnection of Large Loads*, Notice Inviting Comments, Docket No. RM26-4-000 (October 27, 2025).

² ECA is a growing national coalition dedicated to advancing customer-centric solutions that modernize the grid, support economic growth and the development of digital infrastructure and advanced manufacturing, and keep electricity affordable and reliable for all users. Members and participants in ECA include a diverse range of customers, from large customers in the technology, industrial, and manufacturing segments, to smaller commercial customers and residential ratepayer advocates. ECA works to elevate customer perspectives and align customer segments to identify and advance common ground approaches to the challenges of load growth, grid expansion and modernization, electricity market governance and accountability, and rising electricity affordability concerns.

that fail to holistically account for projected new large loads and associated generation; and

2. Other customers lack sufficient transparency into how costs are incurred and allocated and in forecasts of new large loads to have confidence that investments made to serve new large loads are not being shifted to them or exposing them to stranded cost risk.

Commission action on the proposals laid out by the Secretary in the ANOPR would provide a critically needed catalyst for addressing these problems and a foundation for winning the Artificial Intelligence (AI) race, capturing economic development from expanded manufacturing and industry, and keeping electricity reliable and affordable for all customers. To be sure, these challenges do not admit of easy answers, and the details of the precise solutions developed will matter greatly. That is why ECA suggests a guidelines-based approach, requiring transmission providers across the country to demonstrate that they have in place procedures and agreements for large load interconnection to the transmission system that meet minimum guidelines prescribed by the Commission. This approach would allow the Commission to spur reforms needed to remedy the potential for unjust and unreasonable rates or unduly discriminatory transmission service while allowing for continued innovation in meeting the needs of large load customers, protecting other customers from cost shift and stranded cost risks, and addressing the unavoidable confluence of federal and state authority in this area.

In these reply comments, ECA:

- Highlights the challenges of the status quo and the need for reform that supports Commission action on the Secretary's requests;
- Addresses comments seeking to unduly limit the scope of Commission-directed reforms in response to the ANOPR; and
- Reiterates our recommendation that the Commission utilize a guidelines-based approach rather than *pro forma* procedures and agreements, which will allow for flexibility on compliance to address differences in the interplay of transmission-level interconnection procedures and agreements with retail regulation in among states,

avoid disrupting processes that are working well today, and allow for innovation in interconnection processes and practices.

I. The Need for Reform of Procedures and Agreements for Large Load Interconnection to the Transmission System.

The current circumstances facing the Commission-jurisdictional transmission system and wholesale power markets—characterized by, among other things, rapidly accelerating growth in demand from large load customers, slow development of new generation and transmission infrastructure to serve those demands, tightening market conditions leading to rising prices, and a lack of clear paths to interconnect emerging large loads and accelerate development of generating and storage resources to serve them—demonstrate the need for Commission action to reform procedures and agreements governing large load interconnection to the transmission system.

The principle purpose of the Federal Power Act (FPA) is “to encourage the orderly development of plentiful supplies of electricity and natural gas at reasonable prices.”³ Numerous commenters, including ECA, explain the challenges that unclear or non-existent pathways and frameworks to interconnection large loads and develop generation and transmission to serve those loads are creating for ensuring that plentiful supplies of electricity are available to ensure just and reasonable rates for all customers while meeting the national security and economic imperatives underlying the development of data centers, reshoring of manufacturing, and expansion of U.S.-based industry.⁴ Commenters explain, *inter alia*, that access to sufficient energy is a primary impediment to expanding economic activity in the United States;⁵ that current tariffs and practices are not securing the investment in electric transmission and generation capacity that needed to meet the requirements of the digital economy and reshoring of manufacturing and heavy industry

³ *NAACP v. FPC*, 425 U.S. 662, 669-70 (1976).

⁴ ECA Comments at 6-9, Docket No. RM26-4-000 (Nov. 21, 2025).

⁵ *See, e.g.*, Oracle Comments at 1, Docket No. RM26-4-000 (Nov. 21, 2025).

and keep electricity affordable and reliable;⁶ and that the opaque nature of existing procedures and agreements is preventing large load customers and suppliers from developing reliable and cost-effective power supply arrangements and exacerbating the risk of undue discrimination.⁷

To be sure, the Commission must have an evidentiary basis to support taking action on reforms to jurisdictional rates and terms and conditions of service. Some commenters and observers, however, appear to wrongly suggest that the Commission must present empirical evidence or direct examples of currently existing unjust and unreasonable rates in every region where the rule would take effect.⁸ While ECA believes the above-described substantial evidence shows that current rates and practices are just and unreasonable and require reform, we note that in exercising its authority under the FPA to reform existing rates and practices, the Commission may rely on evidence of unjust and unreasonable rates *or* an economic theory that unjust and unreasonable rates will occur without action. The Commission “do[es] not need to conduct experiments in order to rely on the prediction that an unsupported stone will fall.”⁹ It is entirely reasonable for the Commission to base action here on the unremarkable theory that unprecedented growth in demand from large load customers, combined with unclear and uncertain procedures and agreements for interconnection of such loads to the transmission system that limit the development of new infrastructure to serve them, will lead to unjust and unreasonable rates and the potential for undue discrimination in the provision of transmission service.

⁶ See, e.g., Microsoft Comments at 1-2, Docket No. RM26-4-000 (Nov. 21, 2025); Google Comments at 1-3, Docket No. RM26-4-000 (Nov. 21, 2025).

⁷ See, e.g., Electric Power Supply Association Comments at 6-8, Docket No. RM26-4-000 (Nov. 21, 2025).

⁸ See, e.g., Louisiana and Mississippi Public Service Commission Comments at 6, Docket No. RM26-4-000 (Nov. 21, 2025).

⁹ *Assoc. Gas Distributors v. FERC*, 824 F.2d 981, 1008 (D.C. Cir. 1987); see also *South Carolina Pub. Serv. Comm’n v. FERC*, 762 F.3d 41, (D.C. Cir. 2014).

II. Limiting the Reach of the Reforms Directed by the Commission as Suggested by Some Commenters Would Provide an Incomplete Remedy to the Problems that Require Commission-Directed Reforms.

Several commenters suggest limiting or cabining the scope of the reforms to procedures and agreements for the interconnection of large loads to the transmission that the Commission proposes to direct in response to the Secretary's ANOPR. ECA agrees that the Commission should recognize the need for flexibility to accommodate regional differences, avoid interrupting existing processes that are working well, and transparently and cooperatively address the complexities of the confluence of federal and state jurisdiction with respect to large load interconnection and the need for transparency and consumer protection. It is for these reasons that ECA suggested a guideline-based compliance approach rather than across-the-board *pro forma* reforms.¹⁰ However, several comments and proposals would, if adopted, limit the scope of Commission-directed reforms in ways that would fail to provide a complete remedy to the acute risks of unjust and unreasonable rates and undue discrimination requiring action here. An incomplete remedy would not be legally or commercially durable, potentially creating more uncertainty rather than resolving it.

As a threshold matter with respect to the reach of Commission reforms here, ECA disagrees with commenters and observers that posit that Commission regulation of procedures and agreements governing interconnection of large loads to *FERC-jurisdictional transmission facilities* would amount to regulation of *retail sales* or preemption of state authority over such sales.¹¹ Commission regulation of the rates, terms, and conditions of *interconnection* to transmission facilities subject to FERC jurisdiction and related *transmission service* does not constitute

¹⁰ Comments of ECA at 14-16, Docket No. RM26-4-000 (Nov. 21, 2025).

¹¹ See, e.g., Comments of National Association of Regulatory Utility Commissioners, Docket No. RM26-4-000 (Nov. 21, 2025).

regulation of any retail sale. Regulation of those sales is reserved to the states, a point the ANOPR makes explicitly.¹² Commenters and observers claiming that Commission action here would result in preemption have not demonstrated that states would be prevented from regulating retail sales or enforcing retail franchise laws.

As we emphasized in our initial comments, interconnection of large loads to the transmission network is an issue squarely at the confluence of federal and state jurisdiction, and Commission action to improve procedures and agreements for large load interconnection to transmission facilities will have potential implications for states and how they execute their responsibilities to regulate of retail sales. These realities call for the Commission to address the potential implications up front, ensure that transmission providers increase the transparency of the costs of interconnection and how those costs will flow to the states (so they can be fairly allocated in retail rates to those who cause them), and utilize the variety of tools available to increase federal and state coordination (which are described in ECA's initial comments).¹³

In addition, the Commission should reject the suggestion that it limit the scope of its required reforms to only those systems where rates for transmission service are unbundled (which could be interpreted as a request to limit the reach of reforms only to Regional Transmission Organizations and Independent System Operators (RTOs/ISOs)).¹⁴ There is no evidence to presume that the risks to unjust and unreasonable rates and the provision of non-discriminatory transmission service caused by rapid growth in large loads and uncertainty in the processes for interconnection of large loads to the transmission system are not present in bundled and unbundled regions alike. The fact that one or more transmission providers operating with bundled retail rates

¹² ANOPR at P 15.

¹³ ECA Comments at 13-14, Docket No. RM26-4-000 (Nov. 21, 2025).

¹⁴ See Comments of Duke Energy at 7, Docket No. RM26-4-000 (Nov. 21, 2025).

may have had success in interconnecting new large loads does not lead to the conclusion that all bundled transmission providers are similarly situated. Limiting the reach of these reforms to only unbundled transmission providers (*i.e.*, RTOs/ISOs) would risk failing to provide a full remedy to the risks to unjust and unreasonable rates that is driving the need for action in this proceeding. Utilizing the guidelines-based approach suggested by ECA would better allow the Commission to ensure that it is implementing a complete remedy while avoiding disruption to processes that are working well.

With respect to the application of the seven-factor test to identify Commission-jurisdictional transmission facilities subject to any requirements adopted in this rulemaking, at least one commenter proposed instead using a high voltage threshold of 230 kV as a rebuttable presumption.¹⁵ While ECA appreciates the concern that applying the seven factor test will result in additional litigation and delays, we are concerned that a voltage threshold (especially one as high as 230 kV) will be an incomplete remedy to the risks to just and reasonable rates driving the need for Commission action and leave regulatory gaps. In many regions, much of the FERC-jurisdictional transmission system is below 230 kV, with a significant amount below even 100 kV. Moreover, such a threshold could have unintended consequences (such as encouraging transmission providers to build lower voltage facilities to avoid the Commission's requirements) that must be considered. ECA believes continued reliance on the long-standing seven-factor test is appropriate, legally sound, and will not materially increase litigation challenges. If the Commission considers alternative thresholds for determining the scope of its rule (including alternative proposals for defining the large loads subject to new large load interconnection procedures and agreements), it should take care to ensure that it does not unduly narrow the scope

¹⁵ NRG Comments at 9-10, Docket No. RM26-4-000 (Nov. 21, 2025).

of its reforms in a manner that provides an incomplete remedy or leave regulatory gaps and uncertainties for the emerging large loads like data centers and expanded manufacturing and industry driving the need for action here.

Finally, some commenters suggest limiting the options for supporting or funding the network upgrades needed to interconnect new large load customers to the transmission grid.¹⁶ Given the acute risks to unjust and unreasonable rates and the provision of non-discriminatory transmission service underlying this proceeding and the national security and economic growth imperatives of facilitating faster interconnection of new large loads, the Commission should, as a general matter, avoid taking options off the table for large customers to fund with private capital rather than ratepayer funds the new transmission and generation infrastructure needed to serve them. For example, mandating that all transmission upgrades be funded by transmission providers in rate base with a return on investment, or that customers securitize network upgrades that transmission providers are funding through rate base, would lead to increased costs and less options to support speed to power without any demonstrable benefit to other customers.¹⁷ ECA urges the Commission to use this proceeding to encourage new approaches to making system capacity available to interconnect emerging large loads in ways that maximize private investment and protect customers from cost shifting and stranded costs, rather than entrenching existing models that risk increased consumer costs and delays. Several comments have proposed new innovative approaches to transmission funding that ECA hopes the Commission will further explore as it moves forward.¹⁸

¹⁶ See, e.g., Edison Electric Institute Comments, Docket No. RM26-4-000 (Nov. 21, 2025).

¹⁷ *Id.*

¹⁸ NRG Comments at 15-26, Docket No. RM26-4-000 (Nov. 21, 2025).

III. A Guidelines-Based Approach to Implementing Required Reforms is Practical, Implementable, and Provides a Path for the Commission to Increase Transparency, Encourage Competition and Innovation, and Address Unique State and Regional Circumstances.

ECA continues to urge the Commission to utilize a guidelines-based approach to requiring reforms to procedures and agreements for large load interconnection to the transmission system. As we explained in our initial comments, under this approach the Commission would determine that large load interconnection to the transmission system is a key component of open access transmission service, and direct jurisdictional transmission providers to demonstrate that they have large load interconnection procedures and agreements in place that meet a set of minimum guidelines.¹⁹ We reiterate that this approach would provide a better platform for transmission providers and the Commission to work with states to address the confluence of federal and state jurisdiction, ensure transparency in the costs that flow to states, and avoid inadvertently reaching into retail rate regulation. It would also allow transmission providers to demonstrate that their existing large load interconnection procedures and agreements are working well, meet the needs of the current moment of accelerating large load growth, and do not require additional reforms.

Further, such an approach would better allow the Commission to encourage and foster the speed to power innovations needed to meet the rapidly rising demands of large loads while ensuring ratepayer protection and affordability. Several commenters propose unique approaches to infrastructure development, non-discriminatory allocation of system capacity, and access to power that ECA believes have merit and should be further explored. In particular, ECA strongly supports comments emphasizing the value to all customers of greater aggregation and use of

¹⁹ ECA Comments at 14-16, Docket No. RM26-4-000 (Nov. 21, 2025).

behind-the-meter generation resources.²⁰ Many large load customers are adopting on-site generation resources today as a bridge solution while pursuing full grid interconnection; those resources will be available in the future to support grid reliability and add supply that brings down costs for all customers. Fully implementing aggregation models under Order No. 2222, and encouraging their adoption in non-RTO regions, is critical to taking advantage of these resources to the benefit of system reliability and all customers. In addition, ECA supports further examination of the potential for open season models to allow customers to express interest in funding new infrastructure or flexibly utilizing off-peak capacity to meet their needs.²¹ These models hold promise for accelerating large load interconnection and grid buildout by providing a more direct pathway for customers to demonstrate that they value, and are willing to pay for, capacity and new infrastructure, avoiding time-consuming cost allocation disputes.

A guidelines-based approach would allow these ideas, which would be difficult to implement in a one-size fits all way in this proceeding, to be developed by transmission providers working with states and customers. In addition, ECA believes a guidelines-based approach to moving forward on the challenges identified by the Secretary in the ANOPR is one of the only approaches suggested in the record here that is implementable in the near-term.

²⁰ See, e.g., ClearPath Comments at 7, Docket No. RM26-4-000 (Nov. 21, 2025); Joint Comments of the Load Flexibility Parties, Docket No. RM26-4-000 (Nov. 21, 2025); Comments of Telsa at 4, Docket No. RM26-4-000 (Nov. 21, 2025); Comments of Rewiring America, Docket No. RM26-4-000 (Nov. 21, 2025); Comments of Base Power Company, Inc., Docket No. RM26-4-000 (Nov. 21, 2025).

²¹ See, e.g., NRG Comments at 15-26, Docket No. RM 26-4-000 (Nov. 21, 2025).

CONCLUSION

ECA appreciates the opportunity to provide these reply comments and looks forward to working with the Commission to meet the urgent need for leadership on large load interconnection procedures and agreements while ensuring reliability and customer affordability.

Respectfully Submitted,

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